

**FEDERAL MARITIME COMMISSION**  
**Office of Administrative Law Judges**

NIELSEN & BAINBRIDGE, LLC, *Complainant*

v.

**DOCKET NO. 25-02**

OCEAN NETWORK EXPRESS PTE. LTD.; ORIENT OVERSEAS CONTAINER LINE LIMITED; OOCL (EUROPE) LIMITED; EVERGREEN LINE JOINT SERVICE AGREEMENT (FMC AGREEMENT No.011982); EVERGREEN MARINE CORPORATION (TAIWAN) LTD.; EVERGREEN MARINE (UK) LIMITED, ITALIA MARITTIMA SPA; EVERGREEN MARINE (HONG KONG) LTD.; EVERGREEN MARINE (SINGAPORE) PTE. LTD.; AND YANG MING MARINE TRANSPORT CORPORATION, *Respondents*.

Served: June 18, 2025

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**ORDER OF:** Linda S. Harris CROVELLA, *Administrative Law Judge*.

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**ORDER ON MOTIONS TO SEVER AND MOTIONS FOR A MORE DEFINITE STATEMENT**

**I. Procedural History**

On January 8, 2025, the Commission issued a Notice of Filing of Complaint and Assignment (“Notice”) for this proceeding.

On January 23, 2025, Respondents Orient Overseas Container Line Limited, and OOCL (Europe) Limited (collectively, “OOCL”), filed a Motion to Sever and Motion for a More Definite Statement “OOCL MTS”).

On February 1, 2025, Respondent Ocean Network Express PTE. Ltd (“ONE”) and Complainant Nielsen & Bainbridge, LLC (“NBG”) filed a Joint Motion for Extension of Time (“EOT Motion”). ONE’s response to the Complaint was due on February 3, 2025. The joint motion sought to extend the time “within which ONE may file its responsive pleadings to February 17, 2025, and that NBG be allowed until February 13, 2025, to file any opposition it may have to [OOCL’s and ONE’s] motions to sever and for a more definitive statement....”

On February 3, 2025, Respondent ONE filed a Motion to Sever and Motion for a More Definitive Statement (“ONE MTS”).

Also on February 3, 2025, Evergreen Line Joint Service Agreement (FMC Agreement No. 011982); Evergreen Marine Corporation (Taiwan) Ltd.; Evergreen Marine (UK) Limited,

Italia Marittima SPA; Evergreen Marine (Hong Kong) Ltd.; Evergreen Marine (SINGAPORE) Pet. Ltd. (collectively, “Evergreen”); and Yang Ming Marine Transport Corporation (“Yang Ming”), filed an answer to the complaint.

On February 17, 2025 NBG filed an opposition to OOCL’s and ONE’s motions (“Opposition”). On February 20, 2025, OOCL filed a reply, arguing that its motion to sever, if granted, would make it a dispositive motion.

For the foregoing reasons, both motions to sever are **DEFERRED**, and the motions for a more definite statement are **DENIED**. OOCL’s reply is **REJECTED**. Consistent with the Order below, the parties are required to submit supplemental briefing on the issue of whether all Respondents should be severed into separate proceedings, or if carriers in Commission-approved alliances in effect at the relevant time should be grouped together. Evergreen and Yang Ming filed a joint answer, and at least one of them will remain in the current case.

## II. Discussion

### A. Arguments of the Parties

OOCL contends that “Complainant’s wholly-unrelated claims against five unrelated carriers in one suit is inappropriate because Complainant’s claims do not satisfy Federal Rules of Civil Procedure 20(a)’s requirement for permissive joinder that each claim arise from the same transaction or occurrence, or series of transactions or occurrences.” OOCL Motion to Sever at 1-2, n. 1 (when there is no Commission Rule, the Federal Rules of Civil Procedure will apply if consistent with sound administrative practice. 46 C.F.R. § 502.12). OOCL also argues that its motion to sever is a dispositive motion as defined by 46 C.F.R. § 502.69(g), and it is allowed by 46 C.F.R. § 502.70(c) to file a reply to NBG’s response to the motion. OOCL Reply in Support of Motion to Sever at 1-2.

ONE’s Motion to Sever essentially raises the same arguments as OOCL that NBG’s “claims run afoul of the threshold requirement for permissive joinder under Federal Rule of Civil Procedure 20(a) that each claim arises from the same transaction or occurrence, or series of transactions or occurrences.” ONE Motion to Sever at 2.

NBG opposes the motions to sever and contends that its claims arise out of the same transactions or occurrences because “during the COVID-19 pandemic *all* of the Respondents (including ONE and OOCL) engaged in an unjust and unreasonable practice of failing to satisfy their respective contractual ocean freight service commitments to Complainant in favor of carrying cargo from other shippers paying higher rates,” as well as imposing “extracontractual charges” to the freight they did carry (emphasis in original). NBG Opposition at 2-3. NBG also argues that its “allegations demonstrate that all of Complainant’s causes of action ... arise from the same nucleus of fact because the alleged actions of each Respondent exacerbated the situation in which Complainant had to pay more for spot-market carriage of shipments that could and should have been carried by those Respondents at the rates [the respective parties] had bargained for.” *Id.* at 4. NBG maintains that “Respondents *refused to compete* with one another and with other carriers for ocean freight volume,” which contributed to inflated spot market prices. *Id.* at 3 (emphasis in original). And further, its “claims regarding the Respondents’ unjust

and unreasonable detention and demurrage penalties all arise from industry-wide congestion and slowdowns affecting ports and entire regions where multiple Respondents have operations: a common nucleus of fact regarding the issues that plagued those ports during the relevant time period and...the causes of the delay, and associated penalties, were outside of Complainant's control." *Id.* at 4.

## B. OOCL's Reply

OOCL asserts that a motion to sever, if successful, effectively "disposes" of the case, therefore, it is a dispositive motion and OOCL is entitled to file a reply. While OOCL cites to 46 C.F.R. §§ 502.69(g) and 502.70 generally to support this interpretation, it points to no authority, and none is found. Commission Rule 69 addresses motions, including the definitions of dispositive and non-dispositive motions:

For the purposes of these rules, *dispositive motion* means a motion for decision on the pleadings; motion for summary decision or partial summary decision; motion to dismiss all of part of a proceeding or party to a proceeding; motion for initial decision on default; or any other motion for a final determination of all or part of a proceeding. All other motions, including all motions related to discovery, are non-dispositive motions.

46 C.F.R. § 502.69(g) (*italics in original*).

Severing a case does not result in a final determination of all or part of the claims raised in a proceeding. There is no Commission rule that specifically addresses joinder of parties or motions to sever, but Commission Rule 12 states that in the absence of a Commission rule, the Federal Rules of Civil Procedure ("FRCP") will be followed when "consistent with sound administrative practice." § 502.12. FRCP 21 states: "[m]isjoinder of parties **is not a ground for dismissing an action**. On motion or on its own, the court may at any time, on just terms, add or drop a party. The court may also sever any claim against a party." Federal Rules of Civil Procedure 21 (*emphasis added*). "Once severed, the claims move forward as an independent action." *Oceans v. United States Department of the Interior*, 2024 WL 1556005, at \*2 (D.D.C. 2014) (citing *Pinson v. U.S. Dep't of Just.*, 74 F.Supp. 3d 283, 289 n.7 (D.D.C. 2014)). The rule states that an action is not dismissed due to improper joinder, and application of the rule in granting a motion to sever results in the claims moving forward. OOCL acknowledges that severing "creates separate actions and allows a severed claim to proceed as a discrete, independent action for which the court can render a final judgment notwithstanding the continued existence of the original suit." OOCL MTS at 3 (citing *Hayes v. Miller*, 341 Fed.Appx. 969, 970 (5<sup>th</sup> Cir. 2009); *Allied Elevator, Inc. v. E.Tex. State Bank*, 965 F.2d 34, 36 (5<sup>th</sup> Cir. 1992); and *United States v. O'Neil*, 709 F.2d 361, 368 (5<sup>th</sup> Cir. 1983)). Accordingly, and in this instance, neither denying or granting the motions to sever will result in a determination on all or part of the claims in this proceeding, so the motions are not dispositive, and OOCL's reply brief is **REJECTED**.

## C. Motions to Sever

### 1. Authority

A court has discretion under FRCP 21 to “[o]n motion or on its own, ...at any time, or just terms, add or drop a party’ and “sever any claim against a party.” Fed. R. Civ. P.21. When considering whether to join or sever parties or claims, courts look to FRCP 20 for guidance on the permissive joinder of parties:

(a) PERSONS WHO MAY JOIN OR BE JOINED.

...

(2) *Defendants*. Persons—as well as a vessel, cargo, or other property subject to admiralty process in rem—may be joined in one action as defendants if:

(A) any right to relief is asserted against them jointly, severally, or in the alternative with respect to or arising out of the same transaction, occurrence, or series of transactions or occurrences; and

(B) any question of law or fact common to all defendants will arise in the action.

(3) PROTECTIVE MEASURES. The court may issue order—including an order for separate trials—to protect a party against embarrassment, delay, expense, or other prejudice that arises from including a person against whom the party asserts no claim and who asserts no claim against the party.

Fed. R. Civ. P.20.

Granting ““a motion to sever is within the discretion of the trial court.”” *Oceans*, supra at \*2, quoting *Alexander v. Edgewood Mgmt Corp.*, 321 F.R.D. 460, 463 (D.D.C. 2017); see also 7 Charles Alan Wright, Arthur R. Miller & Mary Kay Kane, Fed. Prac. & Proc. Civ. § 1689 (3d ed. 2018).

In making this determination, courts consider multiple factors, including: (1) whether the claims arise out of the same transaction or occurrence; (2) whether the claims present common questions of law or fact; (3) concerns related to judicial economy, multiplicity of litigation, and orderly and efficient resolution of disputes; (4) the availability of witnesses and other evidentiary proof; and (5) the potential for confusion, undue delay, or prejudice to any party.

*M.M.M. on behalf of J.A.A. v. Sessions*, 319 F.Supp. 3d 290, at 295 (D.D.C.2018) (citations omitted).

Based on the motions, opposition, FRCP 20 and 21, and case law, I plan to sever the proceeding into separate cases which I will consider managing together if it is in the best interests of the parties and sound case management. Pending receipt of supplemental briefs, I defer the decision regarding whether to sever each Respondent into separate proceedings or whether there is a logical grouping—such as carriers belonging to an FMC-recognized alliance during the relevant time--that can or should be joined in a proceeding.

## 2. Claims arising out of same transaction or occurrence

Respondents OOCL and ONE argue that the first factor supports severing. Both OOCL and ONE argue that the claims do not share a common nucleus of operative facts, specifically, the alleged transactions of which NBG complains occurred at different ports, with different carriers, on different days and times.

NBG asserts that the common nucleus of operative facts that support going forward with the multiple named Respondents in one proceeding are “the alleged actions of each Respondent [which] exacerbated the situation in which [NBG] had to pay more for spot-market carriage” and “industry-wide congestion and slowdowns affecting ports and entire regions where multiple Respondents have operations....” Opposition at 4. NBG seems to argue that “the event” that serves as a common nucleus of operative facts is COVID-19, and the injuries it alleges were caused by the Respondents’ collusion to not compete and to charge unjust or unreasonable detention and demurrage during the pandemic are logically related to each other. However, there is no discussion of what constitutes a transaction or occurrence. NBG does not explain how that event, as significant as it was, overcomes FRCP 20(a)’s requirement of alleging either joint and several liability (which NBG does not allege), or “in the alternative” that the right to relief arises “out of the same transaction, occurrence, or series of transactions or occurrences.” Fed. R. Civ. P.20(a)(2)(A). I find that there is no common transaction, occurrence or series of transactions or occurrences, so there is no need to address the other factors.

*Kaul v. Fed’n of State Med. Boards*, No. 19-CV-3050 (TSC), 2020 WL 7042821 (D.D.C. Dec. 1, 2020) (where plaintiffs argued that physician regulation “‘by all state medical boards constitutes a ‘series of transactions/occurrences’”), is instructive in describing what constitutes a transaction or occurrence. There, the court found that plaintiffs’ claims were misjoined because they failed “to set forth *any* facts to connect the two administrative proceedings which form the basis of their separate claims—proceedings which occurred ‘during different time periods in different territorial jurisdictions’ and at the hands of separate administrative bodies... (noting that Kaul’s medical license was revoked by the NJBME in 2014, while Feldman’s medical license was suspended by the LMB in 2016). The fact that the state licensing board defendants are members of the Federation of State Medical Boards, without more, is not sufficient to fulfill the first prong of Rule 20(a), even if the alleged injuries are similar.” *Kaul* at \*8. (internal citations omitted). Similarly, in the case *sub judice*, the claims are not “logically related” because they do not arise out of a common transaction or occurrence; rather, the claims arise out of separate transactions (which are attempted bookings of cargo space with different carriers on different dates and at different ports over a period of months, and detention and demurrage charges assessed for different reasons, on different shipments occurring on different dates, at different ports, and over a period of months)<sup>1</sup> pursuant to separate service contracts, and “‘vary

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<sup>1</sup> As Judge Wirth stated in a recent decision where complainant proved that only some shipments were entitled to reparations, evidence is critical: “[r]egarding liability, SEA did not provide a shipment-by-shipment analysis of the containers that accrued damages” and “[g]iven that at least some of the D&D charges were the fault, and therefore responsibility, of SEA, it cannot be categorically found that all D&D charges on door/carrier haulage shipments should have been paid by ZIM.” *Samsung Electronics America, Inc. v. ZIM Integrated Shipping Services Ltd.*, Docket No. 22-30, 2025 WL 1255544 at \*58, 59 (ALJ Initial Decision April 22, 2025). The

so substantially’ that they [do] not satisfy the transaction or occurrence requirement of Rule 20...” *Id.* (citing *Grant v. Salem*, 226 F.R.D. 1 at 2 (D.D.C. 2004)). The “transactions” here are the requests for and denials of space allocation, and the individual shipments that incurred detention and demurrage charges. Those transactions, while resulting in similar injury to NBG, and likely influenced by the impact of the pandemic, are fact-specific to each Respondent and its interactions with NBG. *See generally, TCW, Inc. v. Evergreen Shipping Agency (America) Copr. & Evergreen Line Joint Service Agreement*, Docket No. 1966(I), 2025 WL 516256 (FMC, Feb. 13, 2025).

I find that this factor weighs heavily in favor of severing, and without claims that arise out of the same transaction or occurrence, the remaining factors are of little consequence. Accordingly, I am inclined to sever into separate cases the claims against each Respondent.

### III. Motions for a More Definite Statement

In the alternative to severing, OOCL and ONE both seek a more definite statement. OOCL Motion to Sever at 1, 8-9; ONE Motion to Sever at 1, 9-11. Because the cases will be severed in a manner yet to be determined, it is premature to order a more definite statement at this time. I note that Respondents Evergreen and Yang Ming have jointly answered the complaint, although in a minimalistic manner,<sup>2</sup> somewhat undermining OOCL’s and ONE’s arguments that the complaint is “so vague or ambiguous that a party cannot reasonably prepare a response...” OOCL’s Motion to Sever at 8; ONE’s Motion to Sever at 9 (both quoting Commission Rule 67). However, once the proceeding is severed, NBG will be required to amend the current complaint to specify damages consistent with the below, and similarly must specify damages in the complaints filed in severed proceedings, alleged to be attributable to each Respondent for the period in which reparations are obtainable. 46 C.F.R. § 502.62(a)(4)(i) (“Where reparation is sought, the complaint must set forth the injury caused by the alleged violation and the amount of alleged damages.”). *Also see* Rule 66 (“The presiding officer may direct a party to state its case more fully and in more detail by way of amendment.”). 46 C.F.R. § 502.66(a). Accordingly, the motions for a more definite statement are **DENIED**.

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same reasoning regarding entitlement to reparations on a shipment-by-shipment basis militates against lumping together all detention and demurrage charges assessed by different Respondents on different days at different times and involving different ports—a shipment-by-shipment analysis will be necessary to prove that each Respondent is responsible for the charges they assessed. Similarly, the reasons given for refusing to allocate space on any given sailing will be specific to the Respondent and the date and time requested, as well as the port and other potential considerations.

<sup>2</sup> While the responses to the complaint allegations are minimalist, Evergreen and Yang Ming set forth 27 affirmative defenses and 4 “reservation of rights” clauses, including that they reserve the right “to seek a more definitive statement.” Evergreen and Yang Ming Answer ¶ 43. The time for filing a motion for a more definite statement regarding the complaint has passed: “[i]f a pleading...to which a responsive pleading is permitted is so vague or ambiguous that a party cannot reasonably prepare a response, the part may move for a more definite statement **before** filing a responsive pleading.” 46 C.F.R. § 502.67 (emphasis added).

#### IV. Service Contracts and Reparations

NBG filed the verified complaint with the Secretary on December 31, 2024, by email. Through its complaint, NBG seeks reparations for the 2020-2021 service contract shipping year and the 2021-2022 service contract shipping year. Complaint at ¶¶ 216-217. However, as the Commission stated recently:

The Shipping Act provides that “the Federal Maritime Commission shall direct the payment of reparations to the complainant for actual injury caused by a violation of [the Shipping Act].” 46 U.S.C. § 41305(b). The term “‘actual injury’ includes the loss of interest at commercial rates compounded from the date of injury.” 46 U.S.C. § 41305(a). The Commission, however, must order payment of reparations and interest only if “the complaint was filed within the period specified in section 41301(a).” 46 U.S.C. § 41305(b). In turn, section 41301(a) provides that “[i]f the complaint is filed within 3 years after the claim accrues, the complainant may seek reparations for an injury to the complainant caused by the violation.” 46 U.S.C. 41301(a). *See also* 46 C.F.R. § 502.62(a)(4)(iii) (“[a] complaint seeking reparation must be filed within three years after the claim accrues”).

*Color Brands, LLC v. AAF Logistics, Inc.*, Docket No. 22-18, 2024 WL 246193 at \*2 (F.M.C. Order Affirming Initial Decision in Part and Remanding in Part, Docket No. 22-18 (January 18, 2024)). Accordingly, the earliest date for which NBG could seek reparations is December 31, 2021. Because NBG alleges that its service contracts were effective May 1, 2020 through April 30, 2021, with all named Respondents, and May 1, 2021 through April 30, 2022, as to ONE, OOCL, and Evergreen only,<sup>3</sup> it appears that reparations will not be available as a remedy for the 2020-2021 service contract year, and will be available for four months (and potentially, if any claim accrued as of that day, December 31, 2021) of the 2021-2022 shipping year. Complaint IX. Prayer for Relief ¶ 4. Complainant also seeks a cease and desist order, which is not subject to the three year statute of limitations. *Id.* ¶ 3.<sup>4</sup> *See generally* 46 C.F.R. § 502.62(a).

In addition to seeking reparations for detention and demurrage charges, NBG alleges a 10,044-TEU shortfall for the *combined* shipping year service contracts and seeks lost profits in

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<sup>3</sup> NBG alleges that it contracted with Evergreen for the 2021-2022 service contract year (Complaint ¶ 109), but it does not appear to allege any damages or lost profits as a result of that service contract year.

<sup>4</sup> Complainant also requests “an investigation by the FMC pursuant to 46 U.S.C. Section 41301(c) of the allegations in this Complaint and the Charges’ compliance with 46 U.S.C. Sections 41102(c) and 41104 and reasonableness pursuant to 46 C.F.R. Section 545.5 and the FMC’s Interpretive Rule....” *Id.* at ¶ 4. Complainant may misconstrue this provision; private party complaint proceedings under Section 41301 are not the proper vehicle by which to request the Commission initiate an investigation. *Compare* 46 C.F.R. § 502.62 (“**Private Party Complaints for formal adjudication.**”) with 46 C.F.R. § 502.63 (“**Commission enforcement action.**”) (emphasis in original).

connection with that shortfall. Because the three-year statute of limitations forecloses reparations for the 2020-2021 service contract, it must similarly foreclose consideration of lost profits for that period. In addition, the complaint does not allege how many shipments are at issue during the relevant period starting December 31, 2021. Accordingly, when the decision is made regarding which Respondents to sever from the instant proceeding, NBG will be required to specify in the new complaints and in an amended complaint, the TEU shortfall applicable to each Respondent for the period within three years of the filing of the original complaint on December 31, 2024.

## **V. Order**

Based on all the above, it is

**ORDERED** that both motions to sever are **DEFERRED** pending a determination regarding the appropriate Respondents to join in each proceeding going forward. It is

**FURTHER ORDERED** that the parties file briefs limited to 10 pages addressing whether any of the Respondents should be joined in a proceeding because they were part of an alliance during the relevant service contract year, by July 7, 2025. It is

**FURTHER ORDERED** that Respondent OOCL's and ONE's Motions for a More Definite Statement be **DENIED**.

The parties are encouraged to explore settlement prior to submitting the briefs ordered above. Arguments that simply reiterate those made in a party's motion or opposition are discouraged and will be weighed accordingly.

  
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Linda S. Harris Crovella  
Administrative Law Judge